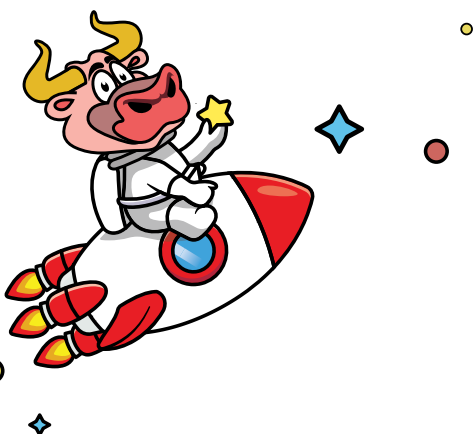


an Indian policy think tank, says the first risk is the recovery of the investments. The start-up could be blindsided by market forces, changes in consumer behaviour or government policies despite the due diligence put in by the investor or VC.

“Start-ups are inherently risky due to their uncertain future and the possibility of failure. However, successful investments can yield substantial rewards, including financial gains and the satisfaction of backing innovative ideas. Diversify a portfolio, conduct thorough research, and be prepared for the long-term commitment required in start-up investing,” says Maheshwari.



Citing his investment journey, he says it could be a lengthy voyage, with many start-ups bearing fruit but no jackpots, “My venture into start-up investing has been an intriguing and enlightening personal journey. Initially driven by passion, I supported various ideas and invested my own funds. However, the financial success I anticipated didn’t materialise,” he says.

Baliga says the biggest risk is the start-up going belly-up. Other risks include liquidity since you cannot exit when you want to. Even for start-ups that are doing decently



“Flexible workspaces offer a pay-as-you-go model, allowing businesses to manage costs more efficiently. This flexibility is particularly attractive for start-ups”

AMIT RAMANI
FOUNDER & CEO, AWFIS
SPACE SOLUTIONS
AWFIS IS AN INVESTEE COMPANY OF
ASHISH KACHOLIA



“The insurtech space in India is booming. With low insurance penetration and evolving consumer needs, there is a massive opportunity for players to offer tailor-made products for consumers”

ANIMESH DAS
CEO, ACKO
ACKO IS AN INVESTEE COMPANY OF
ASHISH DHAWAN

well, an unscheduled exit by an investor could be at a discount.

Steer clear of entrepreneurs who do not have a fair idea of the problems they are trying to solve, the veterans say. “Everyone is rushing to make apps and websites with fancy names without even understanding the legal or compliance and other important things,” says Jain. So, many investors have an army of experts ready to do the due diligence, he says.

Is it wise to invest in loss-making start-ups? Baliga says quite a few of the start-ups he invested in are loss-making, but one should be able to see positive cash flows down the line. The probability of going wrong is higher than in the secondary market, but investors may also end up with multibaggers, he says.

“Start-up is a high-risk and high-reward space. I would first evaluate risks from the perspective of a co-founder/promoter,” says Soumya Malani, a Kolkata-based investor in small caps who is also an investor and co-founder of start-ups such as QSR Chaigram, pet food firm Filomilo, and snacks and beverages firm TABP Snacks and Beverages.

Malani says it is essential for all co-founders to be on the same page. “We often see that after a point, there are differences of opinion amongst co-founders.... This can lead to a lot of friction and can negatively affect the start-up,” he says.

The most important element of any start-up investing is to bet on the right promoter. “The reward in the start-up universe could be astronomical if you get it right,” he says.

So, what is the checklist for an investor hunting for start-ups? Prioritise due diligence, be a mentor and look for sustainable business models. **BT**

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